

2017 SCC OnLine All 3167 : (2017) 178 AIC 949 : (2017) 124
ALR 194 : (2017) 137 RD 415

In the High Court of Allahabad
(BEFORE SUNITA AGARWAL, J.)

Executive Engineer, Distribution Division and
Another

Versus

Pacific Promoter

Matters Under Article 227 No. 4085 of 2017
Decided on July 20, 2017



Page: 950

The Judgment of the Court was delivered by

SUNITA AGARWAL, J.:— Heard learned Counsel for the parties. In the present petition, the question raised is with regard to the Jurisdiction of the Trial Court namely the Court of Civil Judge (Senior Division), F.T.C., Mau, to entertain and try the suit namely Original Suit No. 58 of 2009, *Pacific Promoters through Us Partners v. Managing Director, Purvanchal Power Corporation Ltd.*, for injunction.

2. The contention is that in view of the provisions of sections 126 and 127 readwith section 145 of the Electricity Act, 2003 (hereinafter referred to as the 'Act'), the suit filed by the plaintiff/respondent before the Civil Court is barred by law. Consequently, the order dated 26.4.2017 passed by the Court of Civil Judge (Senior Division), F.T.C., Mau, on the application dated 21.12.2016 paper No. 131C filed in Original Suit No. 58 of 2009 are liable to be set aside being without jurisdiction.

3. Learned Counsel for the petitioners with reference to section 145 readwith section 153 of the Act submits that the jurisdiction of the Civil Court is barred in the matter of assessment. In a case of unauthorized use of electricity under section 126 of the Act. He further submits that any offence of theft of electricity is triable under the Act. Special Courts are constituted under section 153 of the Act by notification in the Official Gazette. The Electricity Act is a Special Act and there is a complete procedure provided under the Electricity Supply Code, 2005

to deal with every issue being raised by the plaintiff. Clauses 6.1 to 6.16 as contained in Chapter 6 and Clauses 8.1 to 8.5 as contained in Chapter 8 of the Electricity Supply Code, 2005 deal with the procedure for taking cognizance in the case of theft of electricity and assessment of civil liability in such a case.

4. Learned Counsel for the plaintiff/respondent, on the other hand, submits that the declaratory relief sought in the aforesaid suit is in pursuance of the assessment made on 21.8.2007, which is the result of inclusion of alleged excess load in bill from 24.5 K.W. to 51.9 K.W. and demand of the charges thereon with interest. The demand raised *vide* bill dated 25.1.2009 has also been disputed being illegal and void. The suit has been proceeded for a period of approximately 10 years and there has been no objection with regard to the jurisdiction of the Civil Court to entertain and try the suit. At such a belated stage, no such objection can be raised. He further submits that moreover, dispute being raised by the plaintiff/respondent does not fall within the purview of section 126 read with section 127 of the Act and as such the prohibition of section 145 of the Act would not operate against the plaintiff. The jurisdiction of Civil Court, therefore, could not be said to be barred. At the best, it could be said to be a case of theft of electricity which is covered by section 135 of the Act, the bar under section 145 of the Act, in that case, would not be attracted.

5. Before dealing with the contentions of learned Counsel for the parties, it would be relevant to extract sections 126, 127, 135 and 153 of the Act as under

“Section 126 : Assessment.—(1) If on an inspection of any place or premises or after inspection of the equipments, gadgets, machines,



Page: 951

devices found connected or used, or after inspection of records maintained by any person, the assessing officer comes to the conclusion that such person is indulging in unauthorized use of electricity, he shall provisionally assess to the best of his judgment the electricity charges payable by such person or by any other person benefited by such use.

(2) The order of provisional assessment shall be served upon the person in occupation or possession or in charge of the place or premises in such manner as may be prescribed.

[(3) The person, on whom an order has been served under sub-section (2) shall be entitled to file objections, if any, against the

provisional assessment before the assessing officer, who shall, after affording a reasonable opportunity of hearing to such person, pass a final order of assessment within thirty days from the date of service of such order of provisional assessment of the electricity charges payable by such person.]

(2) Any person served with the order of provisional assessment, may, accept such assessment and deposit the assessed amount with the licensee within seven days of service of such provisional assessment order upon him:

[(5) If the assessing officer reaches to the conclusion that unauthorised use of electricity has taken place, the assessment shall be made for the entire period during which such unauthorized use of electricity has taken place and if, however, the period during which such unauthorised use of electricity has taken place cannot be ascertained, such period shall be limited to a period of twelve months immediately preceding the date of inspection.]

(6) The assessment under this section shall be made at a rate equal to [twice] the tariff rates applicable for the relevant category of services specified in sub-section (5).

Explanation.—For the purposes of this section,—

(a) “assessing officer” means an officer of a State Government or Board or licensee, as the case may be, designated as such by the State Government;

(b) “unauthorised use of electricity” means the usage of electricity—

(i) by any artificial means; or

(ii) by a means not authorised by the concerned person; or authority or licensee; or

(iii) through a tampered meter; or

[(iv) for the purpose other than for which the usage of electricity was authorised; or

(v) for the premises or areas other than those for which the supply of electricity was authorized.”]

Section 127. Appeal to Appellate Authority.—(1) Any person aggrieved by the final order made under section 126 may, within thirty days of the said order, prefer an appeal in such form, verified in such manner and be accompanied by such fee as may be specified by the State Commission, to an appellate authority as may be prescribed.

(2) No appeal against an order of assessment under sub-section (1) shall be entertained unless an amount equal to [half of the assessed amount] is deposited in cash or by way of bank draft with the licensee and documentary evidence of such deposit has been

enclosed along-with the appeal.

(3) The appellate authority referred to in sub-section (1) shall dispose of the appeal after hearing the parties and pass appropriate



Page: 952

order and send copy of the order to the assessing officer and the appellant.

(4) The order of the appellate authority referred to in sub-section (1) passed under sub-section (3) shall be final.

(5) No appeal shall lie to the appellate authority referred to in sub-section (1) against the final order made with the consent of the parties.

(6) When a person defaults in making payment of assessed amount, he, in addition to the assessed amount shall be liable to pay, on the expiry of thirty days from the date of order of assessment, an amount of interest at the rate of sixteen per cent, per annum compounded every six months.

Section 135. *Theft of Electricity*:— [(1) Whoever, dishonestly,—

- (a) taps, makes or causes to be made any connection with overhead, underground or under water lines or cables, or service wires, or service facilities of a licensee or supplier as the case may be; or
- (b) tampers a meter, installs or uses a tampered meter, current reversing transformer, loop connection or any other device or method which interferes with accurate or proper registration, calibration or metering of electric current or otherwise results in a manner whereby electricity is stolen or wasted; or
- (c) damages or destroys an electric meter, apparatus, equipment, or wire or causes or allows any of them to be so damaged or destroyed as to interfere with the proper or accurate metering of electricity,
- (d) uses electricity through a tampered meter; or
- (e) uses electricity for the purpose other than for which the usage of electricity was authorised,

so as to abstract or consume or use electricity shall be punishable with imprisonment for a term which may extend to three years or with fine or with both:

Provided that in a case where the load abstracted, consumed, or used or attempted abstraction or attempted consumption or attempted use—

- (i) does not exceed 10 kilowatt, the fine imposed on first conviction shall not be less than three times the financial gain on account of such theft of electricity and in the event of second or subsequent conviction the fine imposed shall not be less than six times the financial gain on account of such theft of electricity;
- (ii) exceeds 10 kilowatt, the fine imposed on first conviction shall not be less than three times the financial gain on account of such theft of electricity and in the event of second or subsequent conviction, the sentence shall be imprisonment for a term not less than six months, but which may extend to five years and with fine not less than six times the financial gain on account of such theft of electricity:

Provided further that in the event of second and subsequent conviction of a person where the load abstracted, consumed, or used or attempted abstraction or attempted consumption or attempted use exceeds 10 kilowatt, such person shall also be debarred from getting any supply of electricity for a period which shall not be less than three months but may extend to two years and shall also be debarred from getting supply of electricity for that period from any other source or generating station:



Provided also that if it is proved that any artificial means or means not authorized by the Board or licensee or supplier, as the case may be, exist for the abstraction, consumption or use of electricity by the consumer, it shall be presumed, until the contrary is proved, that any abstraction, consumption or use of electricity has been dishonestly caused by such consumer.

(1-A) Without prejudice to the provisions of this Act, the licensee or supplier, as the case may be, may, upon detection of such theft of electricity, immediately disconnect the supply of electricity:

Provided that only such officer of the licensee or supplier, as authorized for the purpose by the Appropriate Commission or any other officer of the licensee or supplier, as the case may be, of the rank higher than the rank so authorised shall disconnect the supply line of electricity:

Provided further that such officer of the licensee or supplier, as the case may be, shall lodge a complaint in writing relating to the commission of such offence in police station having jurisdiction

within twenty four hours from the time of such disconnect:

Provided also that the licensee or supplier, as the case may be, on deposit or payment of the assessed amount or electricity charges in accordance with the provisions of this Act, shall, without prejudice to the obligation to lodge the complaint as referred to in the second proviso to this clause, restore the supply line of electricity within forty-eight hours of such deposit or payment.]

(2) [Any officer of the licensee or supplier as the case may be,] authorized in this behalf by the State Government may—

- (a) enter, inspect, break open and search any place or premises in which he has reason to believe that electricity [has been or is being,] used unauthorised ^;
- (b) search, seize and remove all such devices, instruments, wires and any other facilitator or article which has been, or is being, used for unauthorized use of electricity;
- (c) examine or seize any books of account or documents which in his opinion shall be useful for or relevant to, any proceedings in respect of the offence under sub-section (1) and allow the person from whose custody such books of account or documents are seized to make copies thereof or take extracts therefrom in his presence.

(3) The occupant of the place of search or any person on his behalf shall remain present during the search and a list of all things seized in the course of such search shall be prepared and delivered to such occupant or person who shall sign the list:

Provided that no inspection, search and seizure of any domestic places or domestic premises shall be carried out between sunset and sunrise except in the presence of an adult male member occupying such premises.

(4) The provisions of the Criminal Procedure Code, 1973, relating to search and seizure shall apply, as far as may be, to searches and seizure under this Act.

Section 153. Constitution of Special Courts.— (1) The State Government may, for the purposes of providing speedy trial of offences referred to in [sections 135 to 140 and section 150], by notification in the Official Gazette, constitute as many Special Courts as may be necessary for such area or areas, as may be specified in the notification.

(2) A Special Court shall consist of a Single Judge who shall be appointed by the State Government with the concurrence of the High Court.

(3) A person shall not be qualified for appointment as a Judge of a Special Court unless he was, immediately before such appointment, an Additional District and Sessions Judge.

(4) Where the office of the Judge of a Special Court is vacant, or such Judge is absent from the ordinary place of sitting of such Special Court, or he is incapacitated by illness or otherwise for the performance of his duties, any urgent business in the Special Court shall be disposed of—

- (a) by a Judge, if any, exercising jurisdiction in the Special Court;
- (b) where there is no such other Judge available, in accordance with the direction of District and Sessions Judge having jurisdiction over the ordinary place of sitting of Special Court, as notified under sub-section (1)."

6. So far as the scope of section 135 of the Act is concerned, the same pertains to the criminal offence punishable under sub-section (1) of section 136 which implies imprisonment of not less than six months, which may be extended to five years alongwith fine. The Special Courts have been constituted under section 153 of the Act for the area of jurisdiction in which such an offence is committed. The procedure for trial has been, provided under section 154 of the Act readwith Clauses 8.1 to 8.5 of the Electricity Supply Code, 2005.

7. So far as civil liability is concerned, the same can be imposed only after assessment is made under section 126 of the Act which includes assessment of liability in case of unauthorized use of electricity. The remedy of appeal is provided under section 126 of the Act against the order of assessment. The demand raised by the defendants/petitioner would, thus, fall under section 126 of the Act and under section 145 of the Act, the jurisdiction of Civil Court has been expressly taken away.

8. Section 9 of the Code of Civil Procedure provides for exclusion of, the jurisdiction of Civil Court barred with regard to a such matter where where there is an express provision or the jurisdiction has been taken away by implied bar. In the instant case, there is an express exclusion under section 145 of the Electricity Act, 2003 of the jurisdiction of the Civil Court to entertain and try such suit. The aforesaid Act has been framed to deal with all disputes relating to supply and use of electricity and also contain provisions to protect the interest of consumers. It is a complete Code in itself.

9. In view of the above discussion, looking to the relief claimed in the plaint and the plaint averments, this Court is of the view that the Civil Court was lacking in jurisdiction and has erred in entertaining and

trying the suit for the relief prayed for *i.e.*, declaration to hold the checking report and the assessment, as illegal and void. The said prayer could very well be addressed by the statutory authorities/Tribunal under the scheme of the Act.

10. Learned Counsel for the respondent, in his defence, however, has placed reliance upon the Judgment of the Punjab and Haryana High Court in *Punjab State Electricity Board, v. Guru Nanak Agriculture Engineering Works*.¹

11. For the reasons noted above, this Court is not convinced to agree, with due respect, with the above judgment.



Page: 955

12. As to the stage of the proceeding is concerned, it is settled law that the plea of lack of jurisdiction can be raised at any time of the proceedings. The logic behind this principle is that every Court has to satisfy itself about it having jurisdiction before proceeding to entertain and try the suit. The proceedings of the Original Suit No. 58 of 2009, *Pacific Promoters through its Partners v. Managing Director, Purvanchal Power Corporation Ltd.*, are, therefore, set aside. The said suit is dismissed being barred by section 145 of the Electricity Act, 2003. The plaint is rejected under Order VII, Rule 14 of the Code of Civil Procedure.

13. The petition is, accordingly, allowed.

14. *Petition Allowed.*

¹ AIR 2007 P&H 57 : (2007) 56 AIC 461 (P&H).